

# Pro Forma Example - Purchase of One Specific, Separate Home

## Acres Homes, Houston - for a Home Buyer



This pro forma relates to the purchase of one specific home by one buyer. It does not describe a pooled investment, fund, shared ownership arrangement, or the purchase of an interest in a project. The company provides guidance, coordination, and process-management services only and does not hold or manage client funds.

| Home Information                                 |                   |
|--------------------------------------------------|-------------------|
| Item                                             | Value             |
| Community / neighborhood                         | Acres Homes       |
| Bedrooms                                         | 3                 |
| Bathrooms                                        | 3                 |
| Expected year built                              | 2027              |
| Expected annual HOA                              | \$700             |
| Expected property tax                            | 2.20%             |
| Garage spaces                                    | 2                 |
| Estimated potential value at delivery            | \$380,000         |
| Living area                                      | 1,650-1,720 sq ft |
| Stories                                          | 2                 |
| Historical average annual appreciation - 5 years | 4.44%             |
| AI review score                                  | 8.5/10            |

| Purchase Information             |           |
|----------------------------------|-----------|
| Item                             | Estimate  |
| Target closing price             | \$320,000 |
| Initial costs                    | \$18,595  |
| Closing costs                    | \$3,440   |
| Estimated total cost             | \$342,035 |
| Illustrative value after 5 years | \$472,191 |

| Financing Information         |           |
|-------------------------------|-----------|
| Item                          | Estimate  |
| Total equity                  | \$150,000 |
| Equity applied to transaction | \$134,035 |
| Additional liquidity / escrow | \$10,000  |
| Loan - 65% of base price      | \$208,000 |
| Illustrative initial rate     | 6.0%      |
| Interest-only years           | 0         |
| Principal-and-interest years  | 30        |
| Monthly principal + interest  | \$1,247   |

| Projected Income and Expenses       |         |          |
|-------------------------------------|---------|----------|
| Item                                | Monthly | Annual   |
| Expected potential rent at delivery | \$2,600 | \$31,200 |
| Property tax                        | \$587   | \$7,040  |
| Property insurance                  | \$125   | \$1,500  |
| Property management - 8%            | \$200   | \$2,396  |
| Leasing commission                  | \$72    | \$867    |
| HOA                                 | \$58    | \$700    |
| Vacancy allowance - 4%              | \$104   | \$1,248  |
| Repairs and maintenance estimate    | \$83    | \$1,000  |
| Total expenses excluding financing  | \$1,229 | \$14,751 |
| Total expenses including financing  | \$2,476 | \$29,715 |

| Illustrative Financial Metrics Only           |              |
|-----------------------------------------------|--------------|
| Metric                                        | Value        |
| Annual net operating income - NOI             | \$16,449     |
| Monthly NOI                                   | \$1,371      |
| Illustrative annual cash flow after financing | \$1,485      |
| Illustrative cash-on-cash                     | 1.11%        |
| Gross rental ratio - excluding financing      | 9.12%        |
| Net cap rate - excluding financing            | 4.81%        |
| Illustrative value after 5 years              | \$472,191    |
| Illustrative sale proceeds + rental cash flow | \$104,528.71 |
| Calculated annualized ROI - base scenario     | 15.60%       |

| Expected Initial Costs                 |          |
|----------------------------------------|----------|
| Item                                   | Cost     |
| Guidance and coordination fee - Aspect | \$12,000 |
| LLC, EIN, and annual filing fee        | \$1,135  |
| Loan origination costs                 | \$4,160  |
| Property appraisal                     | \$800    |
| Home inspection                        | \$500    |
| Total                                  | \$18,595 |

| Additional Closing Costs              |         |
|---------------------------------------|---------|
| Item                                  | Cost    |
| Escrow fee                            | \$600   |
| Builder fee / contractor coordination | \$1,000 |
| Survey                                | \$485   |
| Owner's title policy                  | \$1,000 |
| Title endorsements                    | \$193   |
| Tax certificate                       | \$21    |
| Electronic recording                  | \$10    |
| Attorney document preparation         | \$50    |
| Recording fees                        | \$81    |
| Total                                 | \$3,440 |

**Important:** These figures are estimates based on discussions with professionals and publicly available market sources. They are not certain and may change during underwriting, construction, and closing, including the home price, interest rate, rent, taxes, insurance, and other costs. The metrics are calculated from delivery of the home and funding of the loan. They do not guarantee income, appreciation, or any particular outcome.

The first step is signing an option agreement to purchase a specific home. Later, subject to project progress and the binding agreements, the client exercises the option and completes the home purchase in a separate transaction.

Home Information

**HOA:** A neighborhood association payment for maintenance, enforcement, and appearance. The final amount is determined closer to completion.

**Historical appreciation:** A backward-looking figure from comparable Houston-area communities. It does not indicate or guarantee future appreciation.

**Property tax:** Texas property-tax rates vary by location and assessed value.

**AI score:** A supplemental review of neighborhood change, rental demand, schools, infrastructure, and accessibility. It is not a substitute for professional due diligence.

Financial Information

**Equity:** The amount expected to complete the transaction, including home payments, initial costs, and closing costs.

**Additional liquidity / escrow:** A lender may require prepaid property tax and insurance plus liquid reserves for several monthly payments.

**Loan:** The example assumes financing equal to 65% of the base price. Financing terms are determined through underwriting and may change.

**Rate and loan structure:** The final rate, points, prepayment terms, and loan duration are determined with the lender at the relevant time.

Projected Income and Expenses

**Rent:** An estimate based on comparable homes and market sources. Actual rent depends on the home, timing, and market conditions.

**Insurance:** The estimate may exclude optional or required additional coverage, such as flood insurance.

**Leasing, vacancy, and maintenance:** Statistical estimates only. Tenant turnover, vacancy periods, and unexpected costs may materially change the outcome.

**Potential property income and possible value appreciation over time:** These depend on market conditions and are not guaranteed. The five-year scenario is for illustration only.

Guidance and Coordination Fee - Aspect

The fee covers end-to-end guidance, coordination, and process management: reviewing alternatives, negotiations, coordinating entity and bank-account setup, coordinating professional advisors, due diligence, design, construction, inspection, delivery, and financing.

The service includes coordination with lenders, Realtors/Brokers, CPAs, attorneys, title companies, architects, contractors, and other professionals, as well as **obtaining the best transaction terms for clients**.

**The company provides guidance, coordination, and process-management services only. It does not hold or manage client funds.**

LLC, EIN, loan, customization, inspection, and closing costs are paid to the relevant providers and may vary from home to home and transaction to transaction.

# Considerations and Sensitivity Scenarios

## Purchase of a new home in a developing neighborhood

### Key Home-Purchase Considerations

- Exchange-rate movements affect the shekel cost and the buyer's results.
- The neighborhood is in a developing area with new construction and renewal activity, but the pace of change is not guaranteed.
- The review indicates possible rental demand; actual vacancy and rent levels may differ.
- A new home may reduce some early maintenance uncertainty, but it does not eliminate unexpected expenses.
- Future refinancing may be possible, subject to the home's value, income, interest rates, and lender requirements at that time.
- The scenarios do not assume rent growth. Any positive or negative change affects potential property income.



9/10

#### Change and Value Potential

Developing location and new construction; appreciation is not assured.

8.5/10

#### Rental Demand

Access to employment centers and possible demand for new homes.

7.5/10

#### Market and Operating Risk

Sensitivity to interest rates, taxes, insurance, demand, and expenses.

9/10

#### New Construction

New systems and advance planning for long-term rental use.

### Illustrative Five-Year Sensitivity - after estimated 7% selling costs

| Annual appreciation assumption | Illustrative total profit | Calculated annualized ROI |
|--------------------------------|---------------------------|---------------------------|
| 0%                             | \$18,791                  | 2.80%                     |
| 2%                             | \$55,573                  | 8.29%                     |
| 4%                             | \$95,356                  | 14.23%                    |
| 6%                             | \$138,320                 | 20.64%                    |
| 8%                             | \$184,651                 | 27.55%                    |
| 10%                            | \$234,545                 | 35.00%                    |

These scenarios are not forecasts or guarantees. Small changes in rent, rates, expenses, delivery timing, or sale price may materially change the outcome.

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## Disclosure and Disclaimer

This pro forma is provided for information and illustration only. It does not constitute an offer, solicitation, investment advice, financial advice, legal advice, tax advice, a recommendation to purchase, or a commitment to complete any transaction.

All projections and estimates, including rental income, operating expenses, occupancy, appreciation, interest rates, financing, taxes, and financial metrics, are based on market data, third-party sources, historical trends, and assumptions as of the date of preparation. Purchasing and owning real estate involves risks, including market changes, interest-rate fluctuations, regulatory or tax changes, tenant and occupancy risks, unexpected expenses, maintenance, repairs, and delays. Actual results may differ materially.

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Past performance and historical data do not guarantee future performance. **The company provides guidance, coordination, and process-management services only and does not hold or manage client funds.**